CFRA
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Private Credit: Negative Sentiment, What's Next?

Key Takeaways

- Private credit has gained a broad base of investors tied to pension, insurance, sovereign, and wealth.
- Market size for private credit is about $2.5-$3.0 trillion as of February 25 and is expected to grow to over $4.0 trillion in the next five years.
- The market is under increased scrutiny due to significant disparities between public and private funds concerning liquidity, redemption rights, and net asset value perspectives.
- To better align private credit with all types of investors, including wealth, we think there needs to be better education, transparency, and disclosures.
- The leading firms with private credit concentration are **APO**, **ARES**, and **OWL**, while more diversified firms like **BAM**, **BX**, and **KKR** have significant private credit exposure. We see a buying opportunity on these stocks despite negative sentiment in the public equity market on private credit funds.

Positive (+) or Negative (-) Implications
(-) Apollo Global Management Inc. (APO)
(-) Ares Management Corporation (ARES)
(-) Blackstone Inc. (BX)
(-) Blue Owl Capital Inc. (OWL)
(-) Brookfield Asset Management Ltd. (BAM)
(-) KKR & Co. Inc. (KKR)

Fundamental Context

We think 2026 will test the private credit market. Some investors are skeptical as to whether this asset class faces its first credit cycle. There has been greater attention from the media on a wide range of issues and risks with investing in private credit, especially for individual investors. We have seen the alternative assets management (ALT) firms reap the benefits of this asset class with explosive growth, but increased complexity and elevated systemic importance to lending. We believe it is premature to categorize these issues as late-cycle behavior, especially considering the significant attention given to high-profile bankruptcies in late 2025, which contributed to looser lending standards and compressed spreads that negatively impacted private credit investment returns.

Public investors have become skeptical about the private credit model for ALT firms. There is growing concern about direct investment in private credit funds and their contribution to the ALT enterprise. Limited regulatory guardrails, expanding retail participation, and opaque pricing in illiquid markets have caused transparency concerns. Recent concerns are arising that capital raised is exceeding quality deal flow, with some ALT managers unwisely expanding risk appetite, in our opinion.

Many of the ALT share prices have come down significantly in the last 12 months (LTM). As of February 24, the most concentrated players have sold off, with ARES down 31% and OWL down 51% in LTM, while more-diversified ALT firms were less affected, with APO down 23%, BX down 26%, BAM down 17%, and KKR down 27%. The dispersion among this group has something to do with enterprise size and diversification. The largest ALT firms have significant scale in other asset classes such as private equity, real estate, capital markets, insurance, and wealth management. Share price weakness for OWL and others can be tied to how their individual private credit funds have performed or their risk exposure. We will address some of these pressure points that have come up in their private funds often through the investment vehicle called business development companies (BDC), where public investors can see a more granular level of private credit activity.

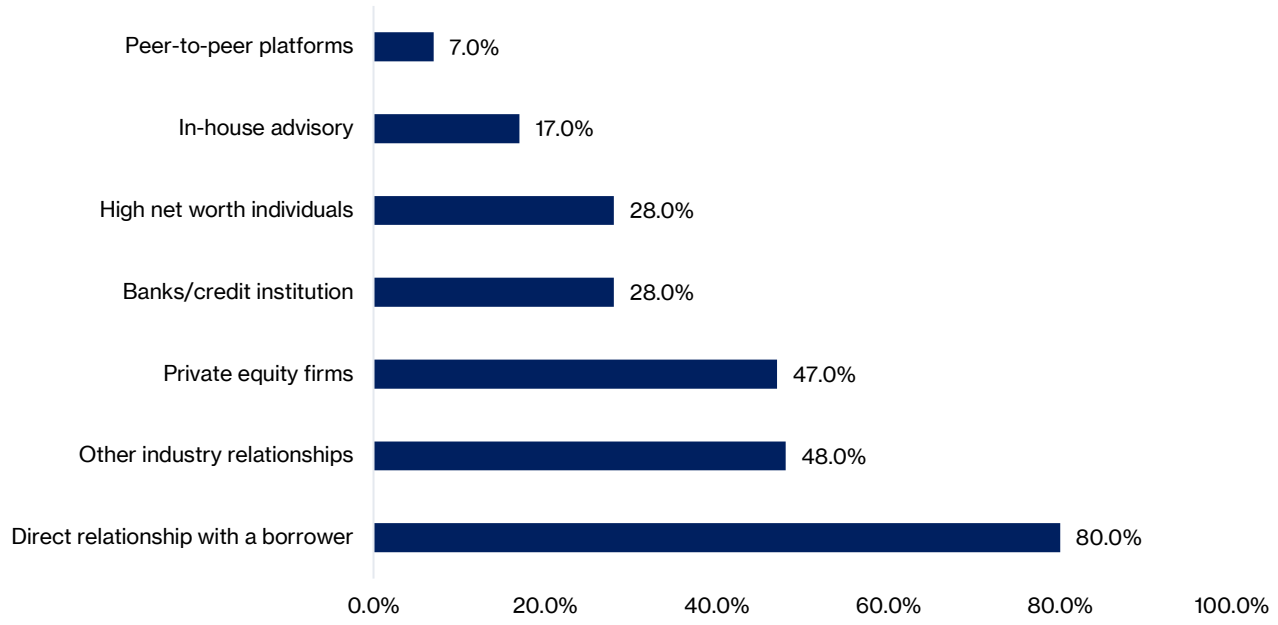
Table 1: Global Private Credit Market Size ($ Billions)

Year	Direct Lending	Mezzanine	Distressed Debt	Other	Total AUM (Estimated)
2000	10	10	10	10	40
2005	80	40	30	50	200
2010	120	60	50	100	330
2015	250	90	70	150	560
2020	600	150	100	250	1,100
2021	750	170	120	300	1,340
2022	900	190	140	350	1,580
2023	1,100	210	160	400	1,870
2024	1,300	230	180	450	2,160
2025 (Est.)	1,500	250	200	500	2,450

Source: CFRA.

Private credit is no longer a niche market, but a formidable market outside of the traditional banking system. There are some industry sources that have the private credit market as high as $3.0 billion. Our ALT firms transact directly with borrowers to negotiate credit terms and originate privately held loans that do not trade in the public markets. We think ALT firms as private lenders have become the preferred lending partners given their level of sophistication in structuring private credit, flexibility, available capital to lend, and certainty of execution. Corporate borrowers have been willing to pay a premium for execution, agility, and customization that private credit lenders can offer, in our opinion. Corporate direct lending is the dominant segment of the private credit market, accounting for over 60% of current investments. Besides mezzanine and distressed debt, other areas that cover asset-backed lending, infrastructure debt and real estate debt are increasingly relevant and account for most of the remaining 20% of the market.

Figure 1: How Private Credit Managers Plan to Develop Their Origination Channels

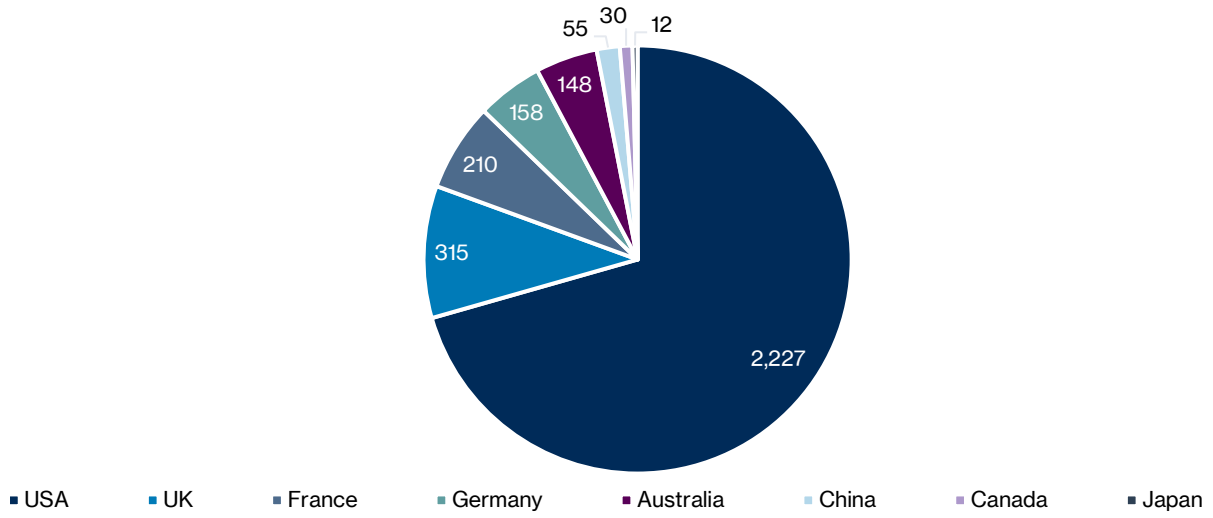


Source: CFRA, Alternative Credit Council.

Private credit has been mostly a U.S. phenomenon to date. While there is currently U.S. investor skepticism on private credit, ALT firms are actively pursuing the rest of the world. On their recent earnings calls, some of the leading firms such as ARES and KKR mentioned opportunities for fundraising in Asia and the Middle East for private credit. The opportunity is issuance of new private credit funds dedicated to investing in these regions. As of December 31, 2025, the U.S. represents 65% to 70% of total global gross assets under management (AUM) in private credit.

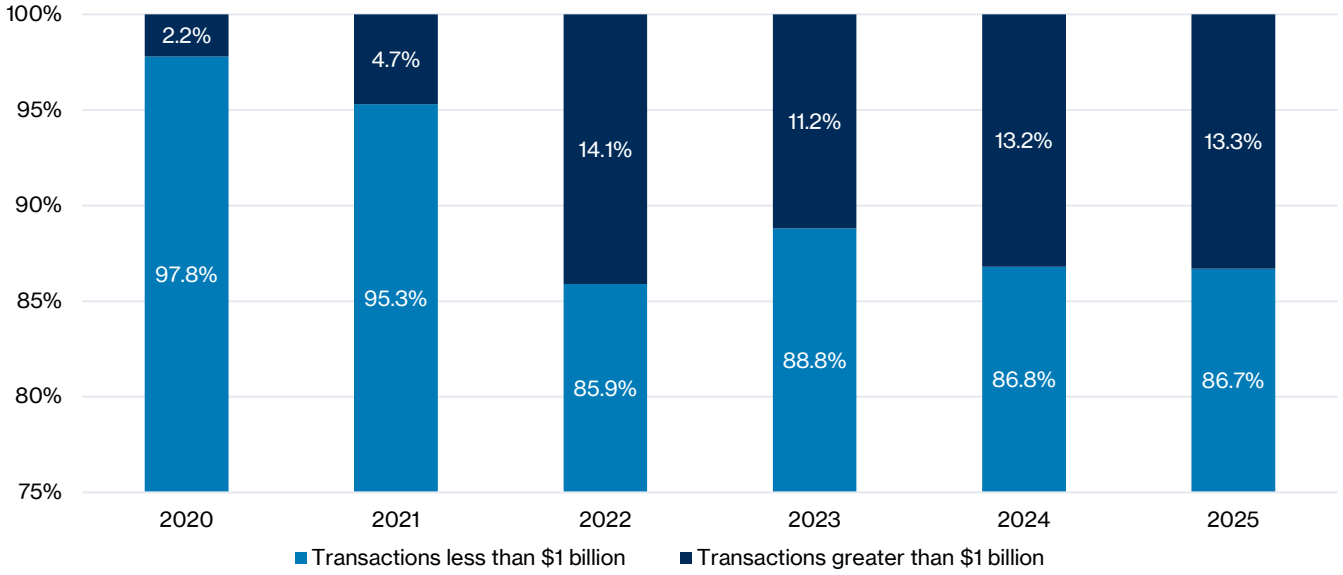
We could view the U.S. market as mature, as it works through the investment cycle of closing older private credit funds and issuing new funds. The next largest market is Europe, representing up to 25% of the total global private credit market, combining the gross AUM of U.K., France, Germany and the rest of the region. We find China to be a potential opportunity where we have seen record activity in public equity IPOs either through Hong Kong or mainland China exchanges. Private credit may be more problematic in China given worries about governance and regulation that are different than other developed countries.

Figure 2: Private Credit 2025 Gross Assets Under Management ($ Billions)



Source: CFRA, Alternative Credit Council. Estimated data as of December 31, 2025.

Figure 3: Private Credit Average Transaction Size ($ Billions)



Source: CFRA, Alternative Credit Council. Data as of December 31, 2025.

Private credit average transaction size is getting larger. Whether this creates a higher credit loan risk exposure remains to be seen. We believe large private credit deals represent more concentrated exposure if at the wrong time of the credit cycle. There is no question that the size, complexity, and current market conditions create multiple areas for potential failure. We think any mega private loans in the fund present concentration risk in which a single loan of over $1 billion would be greater than 5% of the private credit fund, creating the risk of loan defaults. ALT firms are steadfast that loan loss exposure is in a normalized range of delinquent or potential default loans. Large transaction deals mostly originated in the 2023-2025 period at peak valuations or measures of EBTIDA multiples. Typical loan maturities are five to seven years, with a refinancing window from 2028 to 2030.

Private credit pivots to investment grade credit issuance, which was $200 billion in 2025. APO management stated that private credit that started with small-to-midsize direct loans in the $100 million to $250 million range have moved to loans in the $500 million to $1 billion range. The key pivot is lending to investment grade credit borrowers, a $4 trillion market that is much larger than the non-investment grade or high yield market. Private credit may also be first lien loans or second lien loans that are secured by collateral of the borrower. There may also be asset-based loans (ABL) secured by working capital assets (e.g., inventory, receivables), which are more likely smaller loans. Our worries are megadeals in private credit to finance market leaders in software and technology or that have the most to lose from AI commoditization. This brings us back to credit risk for larger average transaction size.

We think private credit transaction size could be disproportionately risky. Megadeals greater than $1 billion carry several risks: concentration risk, where a single loan can impair an entire fund; complexity risk, as more sophisticated borrowers are harder to restructure; sector exposure risk, with larger deals concentrated in software vulnerable to AI disruption; valuation pressure, making it harder to mark down bigger potential losses; refinancing risk if there is less access to a 2027-2028 market downturn; and systemic risk, where larger defaults could trigger contagion and federal intervention.

Figure 4: 2026 Outlook for Non-U.S. Private Credit Markets and Non-U.S. ALT Firms

Opportunities:

- European growth is expected to outpace U.S. on a percentage basis in 2026
- Asia expansion as regional capital markets are likely to develop faster
- Niche specialization (e.g., sector, geography) vs. competing on scale
- Local regulatory advantages (e.g., ELTIF, AIFMD familiarity)

Challenges:

- Capital disadvantage – U.S. firms raising 5x-10x more
- U.S. expansion into Europe – Ares, Apollo, and Blackstone building European teams
- Talent wars – U.S. firms poaching European talent
- Technology/data – U.S. firms investing more in origination platforms

Source: CFRA.

In the private credit market, U.S. firms continue to dominate, because they have a capital advantage, raising 5x to 10x compared to non-U.S. firms. The U.S.-based ALT firms have advantages in capital, distribution, and brand, with deal sizes of $100 million to $1+ billion, but face intense competition.

Non-U.S. private credit firms exist and are growing. European firms like ICG plc (ICG GBP17 NR), Partners Group Holding AG (PGHN SW CHF852 **), and CVC Capital Partners plc (CVC EUR12 NR) are significant regional players, but none approach the scale of top five U.S. managers. The non-U.S. firms are in smaller private credit country markets in Europe that have advantages of local relationships, regulatory knowledge, and less-crowded, relationship-driven markets.

Brookfield is the exception, as a Canadian firm that has achieved top three global status through aggressive M&A (Oaktree) and leveraging its broader $1+ trillion alternatives platform. Its recent NYC headquarters move by BAM signals where the center of gravity lies for ALT including private credit.

We think the best opportunities for non-U.S. firms are in regional specialization, local relationships, and sectors, where scale is not the primary competitive advantage, essentially playing a different game than the U.S. mega-managers.

Figure 5: What Worries Public Investors About Private Credit?

Non-Investment Grade Credit Risk:

Most ALT firms started private credit in high yield lower grade private credit, but large firms like APO have pivoted to investment grade private credit, which is much larger, with an estimated $4 trillion market. We believe underwriting discipline and borrower control matter and affect investment returns and credit risk exposure.

AI Disruptor to Technology Sector:

Private credit is a significant lender to software companies and digital infrastrucure. AI demand could disrupt data center buildout to oversupply risk and tenant renewal leases. Software firms may face sharp market repricing of valuation from Anthropic's unveiled coding agents. Private credit activity in software is quite large in last decade.

Market Price Volatility:

BDCs are showing some weakness in lower grade private credit where workouts are needed. Deployment pressure from retail capital inflows and redemption requests is pushing marginal credit in the market at the wrong time in the investment cycle. We think private credit is a relationship and execution business.

Policy & Regulatory Risk:

Level of opacity in private credit makes its challenging for regulators to assess buildup of risks. A concern is interconnection with banks, insurers, and private credit funds leading to contagion. Insurance companies are major private credit investors seeking yield to match liabilities. Uncertain valuations could raise risk.

Source: CFRA.

Each of these worries featured in Figure 5 can use a deep dive of analysis. We plan to publish subsequent, more-detailed thematic reports on each of these subjects. For now, there is a large dislocation gap between private funds versus public pricing tied to private credit funds and what pressure points may accelerate further sell off. Private credit loans to software companies in the last decade face uncertainties with AI disruptors, while AI investment in data centers or related infrastructure shows outsized private credit funding with potential risks to the AI model of borrowers or refinancing risks longer term.

We think there is not a direct parallel to the financial crisis in 2007. However, we see signs of worry. OWL froze withdrawals permanently, citing portfolio stress in certain funds, Treasury Secretary Bessent raised public concerns about private credit activity, and the public market are trying to assess whether any gating of redemptions by private credit funds is isolated or signals a systemic problem.

Where is U.S. policy and regulation? In our view, the Federal Reserve and regulators are more aware of the potential risks to private credit, but the markets and the firms are less regulated than banks. Private credit is more opaque and less regulated than 2077 subprime. There is no supervisory role by the Fed.

We could see more redemption requests, where allowed, for select private credit funds. There is a gating mechanism that limits how much redemption is required each quarter. The ALT firms with private credit funds specialized for technology or software companies present higher risk to limited partners or private investors.

Figure 6: What Investors Are Pricing in Public or Private Markets?

Base Case Scenario (Market Consensus Forming)

- Multiple private credit funds gate limit redemption size in the next two to three quarters
- The secondary sponsor market takes on more resale activity, heavily discounting net asset values (NAV) compared to limited partners' original cost basis
- Mark to market comes down 10% to 15% on many private credit funds, varying in scope
- Default rates spike to 4%-6% versus historical 1.5%-2% range, fee pressure from limited partners, regulatory intervention, or Fed supervision, and earnings headwinds ahead

Bear Case Scenario (Tail Risk to Something Damaging or Systemic)

- Cascading or triggering redemption gates one after another on private credit funds
- Asset fire sales of illiquid assets, although most private credit funds do not have high or unlimited redemption rights in a short period of time
- Bank credit line pullback creates a funding crisis at the ALT firm or private credit fund level
- Insurance company capital impairment hurts sponsors
- Systemic repricing of the $2 trillion private credit market across different products or fund types occurs.
- ALT firm public stocks have sustained downside to 30% to 50% correction

Bull Case Scenario (Contrarian View in Public Equity Market)

- OWL or private ALT firms are isolated to specific funds or private credit strategy
- Industry takes corrective medicine now and emerges stronger
- Flight to quality benefits the largest and best global ALT firms as smaller firms fail
- Distressed restructuring opportunities create new revenue streams
- Overreaction by public equity market that leads to an enhanced buying opportunity on ALT equities. This is our investment view today.

Source: CFRA.

Table 2: ALT Firms' Assets Under Management by Business Segments ($ Billions)

Company	Ticker	Total AUM	Real Assets/ Real Estate	Private Credit	Insurance	Private Equity	Secondaries/ Hedge Funds/Other
Apollo Global Mgmt.	APO	938	n/a	749	(a)	189	n/a
Ares Mgmt.	ARES	622	139	407	n/a	25	51
Brookfield Asset Mgmt.	BAM	1,181	663	363	(b)	155	n/a
Blackstone	BX	1,270	319	443	(c)	416	92
Blue Owl	OWL	307	81	157	n/a	69	n/a
KKR & Co.	KKR	744	192	276	(d)	229	47

Source: CFRA, company reports. AUM data as of December 31, 2025.
(a) APO insurance reported in Retirement Services, with $292 billion net invested assets.
(b) Brookfield Asset Management also reports Brookfield Wealth Solutions of $108 billion in fee-bearing capital, no AUM disclosure.
(c) Blackstone reports private credit and insurance together.
(d) KKR Insurance segment reported as separate operating business that references Global Atlantic subsidiary, with $219 billion AUM.

APO has the highest concentration in private credit, representing 80% of total AUM, followed by ARES (65%), OWL (51%), KKR (37%), BX (35%), and BAM (31%). We observed that there is no standard definition for each investment segment. There is a level of complexity as to how certain firms classify private credit with other activities. For example, KKR's $219 billion AUM includes $164 billion in private credit and $58 billion in sponsored reinsurance vehicles. This exercise highlights that the ALT firms can be viewed as idiosyncratic to what they disclose without standard reporting. We believe it is confusing when attempting to perform ALT peer analysis.

Many in the ALT industry seek to have better alignment between private credit funds and investors. Most of these firms are trying to gain broader penetration of the wealth management market. We believe the fiduciary role to investor risk is paramount to wealth management clients that may or may not be as sophisticated as the institutions that have invested in private credit. Many industry observers recommend the ALT industry should have a higher level of transparency and reporting, better ways to disclose market data, enhanced communications, right structure of fees, and equitable ways to exercise redemptions.

Table 3: Alternative Asset Managers – Stock Valuations Are Historically Low

Company	Ticker	STARS Rating	Share Price*	Market Cap ($ Billions)	Price Performance		P/E	
					Year-to-Date	Last 12 Months	Next 12 Months	Five-Year Average
Apollo Global	APO	4	114	66.2	-21.2%	-22.8%	12.0x	17.3x
Ares	ARES	4	117	38.4	-27.5	-30.6	18.3	31.6
Brookfield Asset	BAM	4	48	78.2	-8.1	-17.3	26.7	33.0
Blackstone	BX	5	116	143	-24.5	-25.9	17.3	28.5
Blue Owl	OWL	4	11	16.8	-28.8	-50.7	10.7	21.7
KKR & Co.	KKR	4	96	88.7	-24.9	-27.0	14.0	28.1

Source: CFRA. *As of February 24, 2026.

Stocks provide an enhanced buying opportunity, in our opinion. Individual stocks are trading at a significant discount to their five-year historical P/E multiple averages, with APO at a 31% discount, ARES 42%, BAM 19%, BX 39%, OWL 51%, and KKR 50%. This opportunity comes with organic AUM growth averaging 15%-20% annually over the past five years (2021-2025). The equity risk premium reflects the transparency and quality of the book, especially in private credit. The current investor sentiment is negative following a repricing of risk after years of believing alternative funds could not fail and questioning the investment fund framework.

There is a risk overhang on the private credit funds, where there is a gate (i.e., contractual limits to quarterly redemptions to curb disruption to the fund's investments). Most of the private funds have penalties for early redemptions if allowed. We expect the private credit secondary sponsor market to accelerate in 2026 as limited partnership holdings change ownership, selling at large losses to their investment cost basis. The current environment is likely to put a cloud on new fundraising for private credit funds in the U.S. market, while Asia and Europe are less developed.

Education plays a critical role in expanding investor growth in private credit. The ALT industry needs to provide more education on the varied private credit strategies that are offered in their funds. Some of these credit strategies are very sensitive to economic and credit cycles, while other private credit funds are more opportunistic and transaction specific. Wealth managers need more clarity so they can sort not only the reputation risk of ALT firms but also the risk-reward in different funds offered. Education should fund selection in varied credit strategies and target different industry sectors and geographies.

Risk Factors

Private credit faces many risks that range from their fund portfolio to investor redemptions. The broader risks are a major downturn on the investment cycle, lower fundraising, poor fund performance results, and difficulty valuing fund assets.

We think it is hard to always get it right given private credit operates in a complex regulatory and tax environment that could restrict their business. A recession could hurt the operating fundamentals of the corporate borrowers, thereby negatively affecting operating cash flow that supports credit payments.

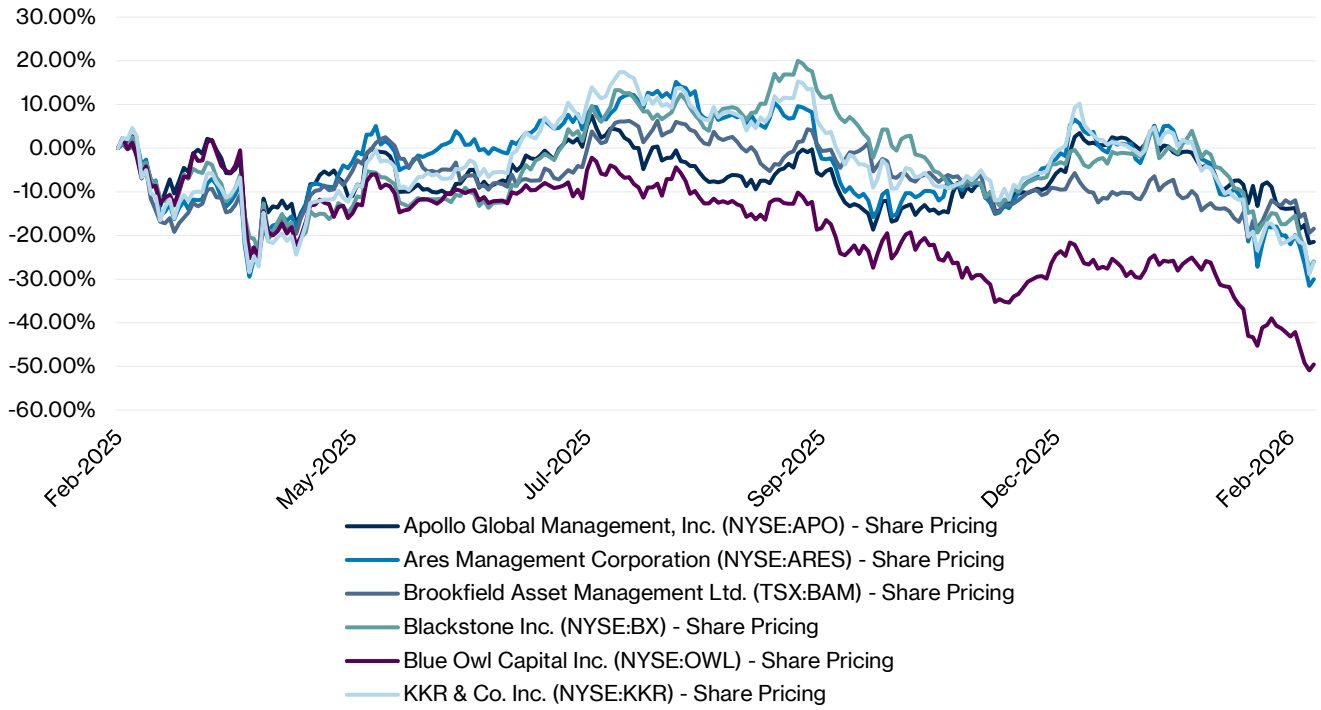
A bear market could decrease the market value of debt instruments or investments held in private credit funds or significantly reduce market liquidity. On redemptions, investors may downsize their investment allocation to private credit funds or external events may compel institutions to rebalance their overall investment portfolio. ALT firms may also have conflicts of interest in co-investing with limited partner investors.

Company Implications

Company / Ticker	12-Month Target Price ($)	STARS Rating
Apollo Global Management Inc. / APO	165	4
Ares Management Corporation / ARES	160	4
Blackstone Inc. / BX	185	5
Blue Owl Capital Inc. / OWL	20	4
Brookfield Asset Management Ltd. / BAM	60	4
KKR & Co. Inc. / KKR	130	4

Source: CFRA.

Relative Performance



Source: CFRA, S&P Global Market Intelligence. Data from February 2025 to February 2026.

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